LIVMO

QoE Readiness Guidebook

Prepare your files for a Quality of Earnings report before a buyer asks.

Read this first

This skill was designed by LIVMO. LIVMO is not responsible for its output. You supply the files and approve every number, and the results are yours. The skill helps you prepare for a Quality of Earnings report. It does not replace one, and it gives no tax, legal, or accounting advice.

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What a QoE is

A Quality of Earnings report, or QoE, is an analysis of a company's earnings. It tests whether the earnings repeat.

A buyer or a lender can rely on it. An independent analyst builds it from your bank, ledger, and tax records.

A QoE does not give an opinion on your financial statements. It asks one question: how much profit will this business keep earning?

What a QoE produces

Adjusted EBITDA bridge. EBITDA is earnings before interest, taxes, depreciation, and amortization. The bridge starts at net income. It adds or removes one-time and personal items to reach adjusted EBITDA.

Proof of cash. This tests that the cash in your books matches the bank, month by month.

Proof of revenue. This tests that the revenue in your books matches your sales records and bank deposits.

Revenue analysis. This shows revenue trends, customer concentration, and customer counts. For a SaaS business it also shows recurring revenue and retention.

Net working capital (NWC) and the peg. NWC is receivables, inventory, and other short-term items, minus payables and other short-term debts. The peg is the normal level of NWC. The seller leaves that level in the business.

Net debt and debt-like items. These are loans and other obligations that reduce what the buyer pays you.

Sell-side QoE

The seller orders it. It helps you find and fix problems before buyers see them.

Buy-side QoE

The buyer or the buyer's lender orders it. It tests what the seller claims.

A sell-side report does not replace a buy-side report.

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AUDIT, REVIEW, COMPILATION, BOOKKEEPING, TAX RETURN

QoE compared with other reports

Each report answers a different question about your numbers.

Audit

An audit is a full test of your financial statements. The auditor gives an opinion on them.

Review

A review is a lighter check. The accountant asks questions and looks for numbers that seem off.

Compilation

A compilation has the least work. The accountant formats your numbers into statements and checks nothing.

Bookkeeping

Accrual bookkeeping records income when you earn it and costs when you incur them. It is a way to keep books. It is not a report on them.

Tax return

A tax return reports income by tax rules. Those rules can differ from how you keep your books.

Where a QoE fits

A QoE sits on top of these. It starts from your books and tests them against the bank and the tax return.

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THE SBA RULE

Why now

The SBA has a new rule for 7(a) loans. It is in SOP 50 10 8.1 and it takes effect on October 1, 2026.

For an initial acquisition or a business expansion, the rule applies at a price of $3 million or more.

The SBA sets the $3 million line before buyer equity, seller debt, or other financing. The price does not include owner-occupied real estate.

In that case the lender must obtain a QoE. It must be done for the benefit of the lender.

The lender uses the QoE earnings to test the loan. If those earnings do not support the valuation and the debt structure, the lender must reduce the loan amount.

The SBA says an owner buyout does not need a QoE.

In an SBA deal, the loan can include QoE costs among the borrower's out-of-pocket costs.

A buyer may commission a QoE first. The lender may then have its own vendor review that report.

> *The QoE must be performed by an independent, experienced financial professional and must be conducted for the benefit of the Lender. As the QoE report is part of the financial due diligence of the transaction, the report must not be prepared by or for the seller.*
>
> SBA SOP 50 10 8.1 on sba.gov, as of 2026-11-02. https://www.sba.gov/document/sop-50-10-lender-development-company-loan-programs

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The files buyers ask for

Critical files. A critical file is a file the workbook needs. The hard floor is C1, C2, and either C3 or C4.

C1	**Monthly profit and loss (P&L)** A buyer starts every earnings analysis from the monthly P&L. Send both bases if you keep both.	Last 2 fiscal years plus year to date
C2	**Monthly balance sheet** The balance sheet shows cash, receivables, payables, and debt. A buyer uses it to set the working capital target.	Same as the monthly P&L
C3	**General ledger detail** The ledger lists every entry behind the P&L. A buyer reads it to test cash, expenses, and one-time items.	Same as the monthly P&L
C4	**Bank statements, all accounts** Bank records are the one source the books cannot change. A buyer ties deposits and balances to your reports.	Last 13 months
C5	**Bank reconciliations** A signed reconciliation shows that someone matched the books to the bank each month. Gaps raise doubt about every number.	Last 13 months
C6	**Sales by customer, monthly** This report shows who pays you and how much. A buyer tests customer concentration and ties sales to the P&L.	Same as the monthly P&L
C7	**Expenses by vendor, monthly** This report shows where the money goes. A buyer looks for one-time costs, personal costs, and vendors tied to the owner.	Same as the monthly P&L
C8	**Accounts receivable (AR) and accounts payable (AP) aging** Aging shows who owes you and whom you owe. A buyer finds old unpaid invoices and unrecorded bills here.	Latest month end
C9	**Tax returns** A buyer compares the revenue on your tax return with the revenue in your books. A large gap needs an explanation.	Last 3 years

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The files buyers ask for

Recommended files. A recommended file helps, but its absence does not stop the work.

R1	**Payroll summaries by employee per year** Payroll is often the largest cost. A buyer checks owner pay against what a replacement manager would cost.	Last 3 years
R2	**Form 1096 and Form 1099 filings** Missing 1099 forms show a compliance gap. A buyer also uses them to find contractors who work like employees.	Last 3 years
R3	**Owner list of one-time or non-recurring items** A buyer adds back costs that will not repeat. Your list gives the buyer a place to start, and you control the story.	Same as the monthly P&L
R4	**Proposed adjustments with support** A buyer accepts an adjustment only with a document behind it. An adjustment with no support often gets dropped.	Same as the monthly P&L
R5	**Related-party transaction schedule** Deals with family or owner entities may not be at market rates. A buyer restates them to market terms.	Last 3 years
R6	**Leases and rent terms** A buyer needs the go-forward rent. If you own the building, rent must reflect what the buyer will pay.	Current terms
R7	**Accounting policies and policy changes** A change in policy can move earnings between years. A buyer wants to see what changed and why.	Last 3 years
R8	**Reviews, compilations, or audits** An outside accountant's report gives a buyer more comfort in your numbers. A buyer asks if one exists.	Last 3 years
R9	**Org chart and owner transition plan** A buyer prices the risk that the business depends on you. A clear transition plan lowers that risk.	Current
R10	**Confidential information memorandum (CIM) and letter of intent (LOI)** A QoE tests the claims in these documents. The numbers in your marketing must match your books.	Current, if they exist
R11	**Statement of cash flows** This statement shows where cash came from and where it went. A buyer checks it against the bank.	Same as the monthly P&L

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FILES AND WHY BUYERS ASK, PART 3 OF 3

The files buyers ask for

SaaS and product files. The S files are for a SaaS business. The P files are for a business that sells products or runs projects.

S1 **Subscription export from the billing system** — All subscriptions active in the last 24 months

It lists each customer, plan, billing interval, start date, end date, and amount. A buyer rebuilds recurring revenue from it.

S2 **Contracts for the 20 largest customers by ARR** — Current

A buyer reads contract terms for length, renewal, and exit rights. These terms decide how safe the revenue is.

S3 **Deferred revenue schedule** — Same as the monthly P&L

Customers who pay in advance create a liability. A buyer ties your schedule to the balance sheet.

S4 **Monthly MRR or ARR report** — Last 24 months

Buyers price a SaaS business on recurring revenue. They test your report against billing and the P&L.

S5 **Capitalized software policy and schedule** — Last 3 years

Capitalized development costs raise earnings. A buyer checks that you applied the policy the same way each year.

S6 **Commission plan and payout records** — Last 3 years

Sales commissions are a real cost of growth. A buyer checks how you treat commissions on annual contracts.

P1 **Inventory at each period end** — Same as the monthly balance sheet

Inventory is cash tied up in stock. A buyer tests counts, old stock, and write-downs.

P2 **Work in progress (WIP) schedule at each period end** — Same as the monthly balance sheet

Unfinished jobs affect revenue timing. A buyer checks that you book revenue as the work is done.

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What the spot checks look for

A spot check tests your files for errors that a buyer's QoE will find. Each check gives a result in plain words and a fix. A SaaS tag marks a check for SaaS businesses.

Hygiene

Your books hold an error to fix. An example is a bank balance that does not match the books.

- No deferred revenue on annual billing SaaS
- Revenue spikes in annual billing months SaaS
- Deferred revenue does not match subscriptions SaaS
- Bank balance does not match balance sheet cash
- Deposits do not match booked revenue
- Bank reconciliations missing or stale
- Cash and accrual books do not tie
- Suspense or uncategorized balance
- Negative AR, AP, or inventory balance
- Tax return revenue does not match books
- Missing Form 1099 filings
- No related-party schedule
- Add-back without support
- Owner pay and replacement cost
- Equipment purchases in operating expense
- Capitalized software without a policy SaaS
- Mixed treatment of sales commissions SaaS
- Old receivables with no note
- Cash-basis books only

Risk

Your books are correct, and a buyer will still discount for the fact. An example is one customer paying for a large share of revenue.

- Customer concentration
- Low gross revenue retention SaaS

Each check uses a fixed limit. Bank cash must tie to the balance sheet within $100. Revenue must tie within 5%. A receivable older than 90 days needs a note.

For each critical or high finding, you pick one response: fix now, explain, or accept. A fix before the sale is a change you made. A finding a buyer discovers is a reason to cut the price.

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How to run the skill

The skill lists the files a QoE firm asks for, and checks them for errors. It builds an Excel workbook with live formulas. The workbook also opens in Google Sheets.

Claude.ai

1 Download `dist/qoe-readiness-skill.zip` from the repository.

2 Open Settings in Claude.ai. Find the Skills section and upload the zip file.

3 Switch the QoE readiness skill on.

4 Start a new chat and write: "Help me prepare for a QoE." The skill instructions tell the model to show the start text first.

Claude Code

1 Download `dist/qoe-readiness-skill.zip` from the repository and unzip it. The archive holds one folder named `qoe-readiness`.

2 Copy that folder into `~/.claude/skills/`. The result is `~/.claude/skills/qoe-readiness/SKILL.md`.

3 Start Claude Code and write: "Help me prepare for a QoE." The skill instructions tell the model to show the start text first.

ChatGPT custom GPT

1 In ChatGPT, create a new GPT.

2 Open `skill/gpt-instructions.md` in the repository. Paste its full text into the Instructions field.

3 Upload the 19 knowledge files from the `core`, `data`, and `scripts` folders inside the `skill` folder. The instructions file lists each one.

4 Turn on Code Interpreter. The GPT needs it to run the scripts and to build the Excel workbook.

5 Save the GPT, start a chat, and write: "Help me prepare for a QoE." The GPT instructions tell the model to show the start text first.

The skill does not produce a QoE. It gives no valuation. It does not connect to your accounting system. It processes your files only inside the chat.

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Next step

A buyer who finds a problem in diligence cuts the price. The industry calls this a retrade.

You can fix many of the same problems before you list the business. A fix you make is a change in how you run the business. A problem a buyer finds is a reason to pay less.

Book a 30-minute exit assessment with LIVMO. We review what you found and talk through your sale.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

LIVMO is a tech-focused M&A advisory in San Diego.

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